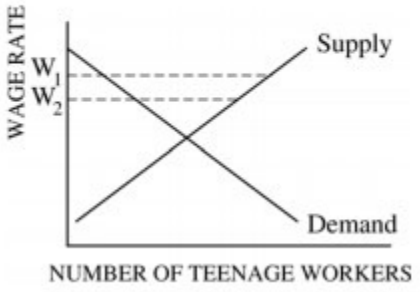
ACBBD
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EABBC
ECEBD
DCBBC
AEBDC
CDDCB
E

2.8 government intervention

1.



The graph above illustrates the labor market for teenage workers. The current minimum wage for all workers is W_1. If Congress introduces a sub-minimum wage, W_2 that applies only to teenagers, what is the most likely effect on teenage employment?

(A) Teenage employment will increase because firms will want to hire more teenagers at W_2 than at W_1. ✓

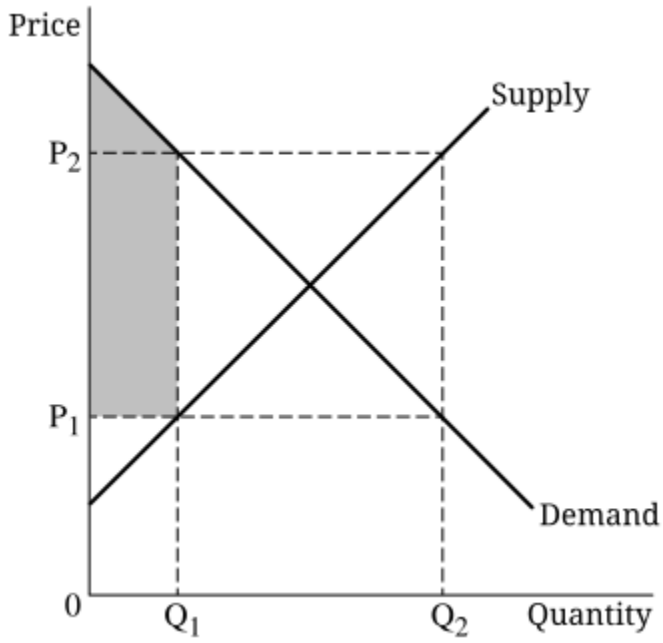
(B) Teenage employment will increase because more teenagers will want to work at W_2 than at W_1.

(C) Teenage employment will decrease because fewer teenagers will want to work at W_2 than at W_1.

(D) Teenage employment will decrease because firms will want to hire fewer teenagers at W_2 than at W_1.

(E) Teenage employment will stay the same because the market-clearing wage is lower than W_1 and W_2.

2.



Consumer surplus could be the shaded area in which of the following situations?

2.8 government intervention

(A) A price floor set at P_1 in the market

(B) A price floor set at P_2 in the market

(C) A price ceiling set at P_1 in the market ✓

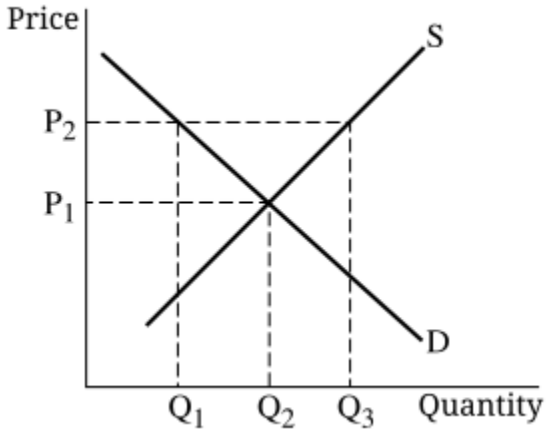
(D) A per-unit subsidy equal to $P_2 - P_1$ granted to producers

(E) A per-unit tax equal to $P_2 - P_1$ imposed on producers

Answer C

Correct. The price ceiling set at P_1 is binding and will thus result in only a quantity of Q_1 of the good being exchanged in the market. Consumer surplus is represented by the difference between the price consumers are willing to pay (represented by the demand curve) and the price they have to pay (P_1) for all units consumed (Q_1).

3.



The graph shows the market supply (S) and demand (D) curves for a particular product. If the government imposes a price ceiling at P_2, which of the following statements is true?

(A) The quantity sold in the market falls from Q_2 to Q_1.

(B) The quantity sold in the market remains at Q_2 because the price ceiling is not binding. ✓

(C) The price ceiling results in a shortage of $(Q_3 - Q_1)$.

(D) The price ceiling results in a surplus of $(Q_3 - Q_1)$.

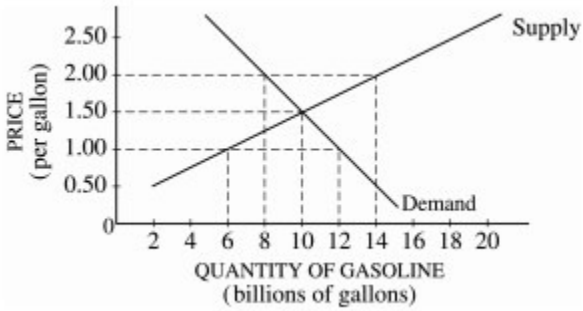
(E) The price ceiling will benefit sellers at the expense of buyers.

2.8 government intervention

Answer B

Correct. For a price ceiling to be binding, it must be set below the equilibrium market price. P_2 is set above the equilibrium market price, and therefore it is not binding.

4.



In the market depicted in the diagram above, if the government imposes a price ceiling of $1.00 per gallon on gasoline, which of the following will result?

(A) A surplus of 6 billion gallons

(B) A shortage of 6 billion gallons ✓

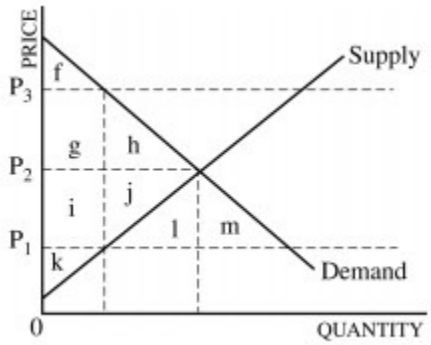
(C) A surplus of 12 billion gallons

(D) A shortage of 12 billion gallons

(E) Neither a surplus nor a shortage, because the price ceiling would not be effective

---

The following questions refer to the diagram below.The letters on the graph represent enclosed areas.



5. If a price ceiling is set at P_1, which of the following areas represent the resulting consumer surplus, producer surplus, and deadweight loss?

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(A)

Consumer Surplus	Producer Surplus	Deadweight Loss
f	k	l + m

(B)

Consumer Surplus	Producer Surplus	Deadweight Loss
f + g + h	k + l	h + j

(C)

Consumer Surplus	Producer Surplus	Deadweight Loss
f + g + h	i + j + k	l + m

(D) ✓

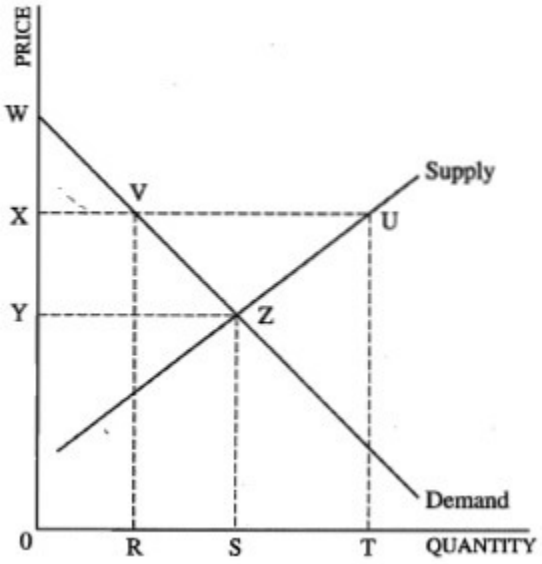
Consumer Surplus	Producer Surplus	Deadweight Loss
f + g + i	k	h + j

(E)

Consumer Surplus	Producer Surplus	Deadweight Loss
f + g + i	h + j	l + m

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The following questions refer to the graph below. The market is currently in equilibrium



6. If a price floor is set at X, the quantity demanded will

(A) increase from 0R to 0S

(B) increase from 0R to 0T

(C) decrease from 0S to 0R ✓

(D) decrease from 0T to 0R

(E) not change

---

7. After the government imposed a $0.20 per gallon tax on gasoline, the price of a gallon of gasoline increased from $1.00 to $1.15. Which of the following statements is true?

(A) Consumers bear the entire burden of the tax, since producers can pass the tax along to consumers.

(B) Consumers and producers share the tax burden equally.

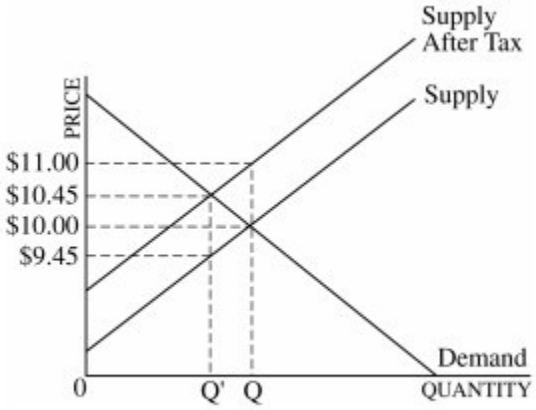
(C) Consumers bear most, but not all, of the tax burden. ✓

(D) Producers bear the entire burden of the tax, since the tax was levied on producers, not consumers.

(E) There is no tax burden, since gasoline is a normal good.

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The following questions are based on the diagram below, which shows the effect of a unit tax placed on a good.



8. According to the diagram, what is the dollar amount of the unit tax?

(A) $0.00

(B) $0.45

(C) $0.55

(D) $1.00 ✓

(E) $1.45

9. What is the price paid by consumers and the net price received by producers after the tax is paid?

2.8 government intervention

(A)

Paid by Consumers	Received by Producers
$11.00	$10.45

(B)

Paid by Consumers	Received by Producers
$11.00	$10.00

(C)

Paid by Consumers	Received by Producers
$10.45	$10.00

(D) ✓

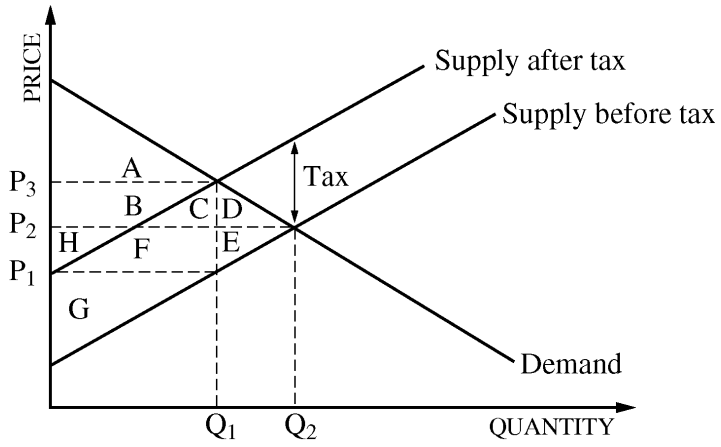
Paid by Consumers	Received by Producers
$10.45	$9.45

(E)

Paid by Consumers	Received by Producers
$10.00	$9.45

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10.



The graph above shows the market for good X The letters in the graph denote the enclosed areas If the government imposes an excise tax of t dollars on each unit of good X, which of the following represents the consumer surplus, producer surplus, and deadweight loss after the imposition of the tax?

(A) **Consumer Surplus:** A
Producer Surplus: G
Deadweight Loss: D+E ✓

(B) **Consumer Surplus:** A
Producer Surplus: F+E
Deadweight Loss: D+E

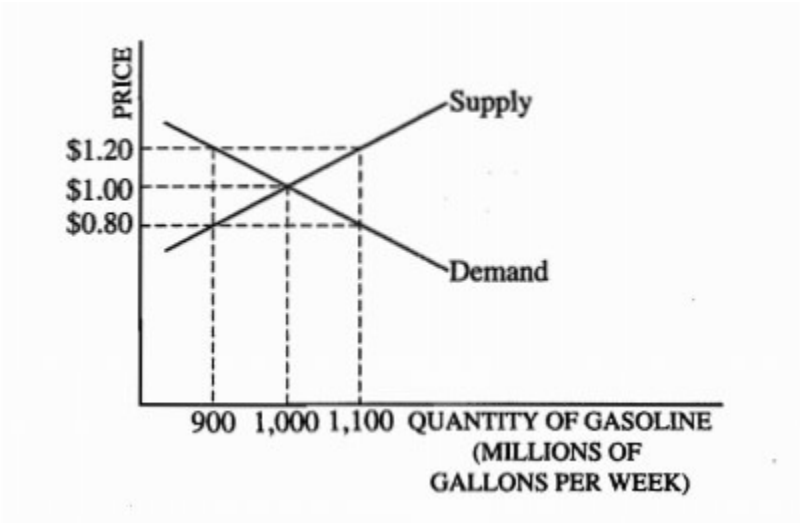
(C) **Consumer Surplus:** A+B
Producer Surplus: G+F+E
Deadweight Loss: C+D

(D) **Consumer Surplus:** A+B+H
Producer Surplus: G+F
Deadweight Loss: D+E

(E) **Consumer Surplus:** A+B+H
Producer Surplus: G+F+C
Deadweight Loss: E

2.8 government intervention

11.



The graph above shows the supply and demand curves for gasoline. Which of the following will occur if the government establishes a price ceiling of $1.20 per gallon?

(A) A shortage of 900 million gallons
(B) A shortage of 200 million gallons
(C) A shortage of 100 million gallons
(D) A surplus of 100 million gallons
(E) Neither a surplus nor a shortage ✓

12. An effective minimum wage policy in a competitive market will increase unemployment and increase the total earnings of labor only if the demand for labor is

(A) relatively inelastic ✓
(B) relatively elastic
(C) unit elastic
(D) greater than the supply
(E) positively related to the wage rate

13. An increase in which of the following will most likely result in a long-run surplus of a product?

(A) The number of suppliers of the product
(B) A price is set by law above the equilibrium price ✓
(C) The demand for the product
(D) The costs of resources used to produce the product
(E) The future expected price of the product

2.8 government intervention

14. Following a prolonged power outage, the price of flashlights normally increases significantly. If cities had passed laws prohibiting price increases for flashlights, during power outages such laws would most likely

(A) make flashlights more available

(B) create a shortage of flashlights ✓

(C) shift the demand curve for flashlights to the right

(D) shift the supply curve for flashlights to the left

(E) have no effect on the availability of flashlights

15. Assume that both the supply of and the demand for a good are relatively price elastic. The imposition of a per-unit excise tax on the sale of the good would cause the equilibrium price and quantity to change in which of the following ways?

(A)

Price	Quantity
Increase	Increase

(B)

Price	Quantity
Increase	No change

(C) ✓

Price	Quantity
Increase	Decrease

(D)

Price	Quantity
Decrease	No change

(E)

Price	Quantity
Decrease	Decrease

2.8 government intervention

16. Assume that the current market equilibrium price for milk is $2.80 per gallon and that 5 million gallons are sold per day. If the government sets a price ceiling of $2.00 per gallon, which of the following is true?

(A) The demand for milk will increase.

(B) The supply of milk will decrease.

(C) There will be an excess supply of milk in the market.

(D) More than 5 million gallons of milk will be sold.

(E) Less than 5 million gallons of milk will be sold. ✓

17. Assume that the government imposes an effective minimum wage in a perfectly competitive labor market. What will happen to employment and total wage payments?

(A)

Employment	Total Wage Payments
Decrease	Increase

(B)

Employment	Total Wage Payments
Decrease	Decrease

(C) ✓

Employment	Total Wage Payments
Decrease	Indeterminate

(D)

Employment	Total Wage Payments
Increase	Increase

(E)

Employment	Total Wage Payments
Increase	Indeterminate

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18. Assume that the government imposes an excise tax on the consumption of a good. The tax will have the least impact on the market equilibrium quantity for which of the following combinations of the price elasticities of demand and supply?

(A)

Absolute Value of Elasticity of Demand	Elasticity of Supply
4	4

(B)

Absolute Value of Elasticity of Demand	Elasticity of Supply
4	0.50

(C)

Absolute Value of Elasticity of Demand	Elasticity of Supply
1	1

(D)

Absolute Value of Elasticity of Demand	Elasticity of Supply
0.50	4

(E) ✓

Absolute Value of Elasticity of Demand	Elasticity of Supply
0.50	0.50

19. Assume that the price elasticity of demand for good X is constant and equal to -0.5 and the price elasticity of demand for good Y is constant and equal to -2. Assume that goods X and Y have identical upward-sloping elastic supply curves. If a per-unit excise tax of the same amount is levied on good X and on good Y, which of the following would be true?

2.8 government intervention

(A) The percentage decrease in the quantity of good X demanded would be greater than the percentage decrease in the quantity of good Y demanded.

(B) The tax share paid by consumers of good X would be relatively higher than that paid by consumers of good Y. ✓

(C) The tax share paid by consumers of good Y would be relatively higher than that paid by consumers of good X.

(D) The tax share paid by sellers of good Y would be relatively lower than that paid by sellers of good X.

(E) The tax share paid by sellers of goods X and Y would be the same.

20. Assume that the supply of corn is relatively price inelastic, while the demand for corn is relatively price elastic. If the government imposes a per-unit excise tax on the production of corn, the incidence of the tax will fall

(A) entirely on buyers

(B) more on buyers than on sellers

(C) entirely on sellers

(D) more on sellers than on buyers ✓

(E) equally on both buyers and sellers

21. Assuming a downward-sloping demand curve and an upward-sloping supply curve, which of the following will occur as a result of an increase in the sales tax on a good?

(A) Supply will increase.

(B) Demand will increase.

(C) Quantity supplied will increase.

(D) Quantity demanded will decrease. ✓

(E) The price paid by consumers will decrease.

22. Assume that the government imposes a binding price ceiling on a market for an inferior good. Which of the following is most likely to occur in the market if consumers' incomes increase?

(A) The market demand will shift to the right.

(B) The market supply will shift to the right.

(C) The shortage in the market will decrease. ✓

(D) The surplus in the market will increase.

(E) The market price will increase.

Answer C

Correct. A binding price ceiling means that there is a legal maximum price below the equilibrium price which creates a shortage, as the quantity demanded will exceed the quantity supplied. An increase in consumers' incomes causes a decrease in the demand for an inferior good, the demand curve will shift to

2.8 government intervention

the left, and the shortage will decrease.

23. The equilibrium price for a good with a vertical supply curve and a downward-sloping demand curve is $20. If a binding price floor is set, which of the following will occur?

(A) There will be a shortage of the good.

(B) The sum of consumer and producer surpluses will decrease. ✓

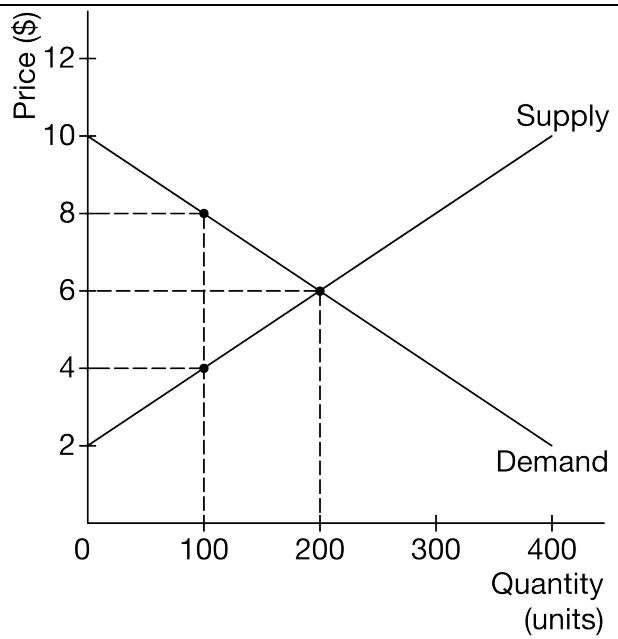
(C) The equilibrium price of the good will decrease.

(D) The quantity sold of the good will remain unchanged.

(E) Demand for substitutes for the good will decrease.

Answer B

Correct. The price floor raises the price above the equilibrium price of $20, reducing the quantity demanded while supply remains constant. The quantity demanded will fall, but the quantity supplied will not change. The market will not achieve equilibrium, resulting in a decrease in both the consumer and producer surpluses.



Assume that the government imposes a $4 per-unit tax on sellers of a good in the market described by the graph above.

24. What are the price paid by buyers, the after-tax price received by sellers, and the deadweight loss?

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(A)

Price Paid by Buyers	Price Received by Sellers	Deadweight Loss
$8	$6	$100

(B) ✓

Price Paid by Buyers	Price Received by Sellers	Deadweight Loss
$8	$4	$200

(C)

Price Paid by Buyers	Price Received by Sellers	Deadweight Loss
$6	$6	$0

(D)

Price Paid by Buyers	Price Received by Sellers	Deadweight Loss
$4	$8	$100

(E)

Price Paid by Buyers	Price Received by Sellers	Deadweight Loss
$4	$8	$200

Answer B

Correct. The tax creates a wedge between the price paid by buyers and the price received by sellers. The per-unit tax shifts the supply curve to the left by the amount of the tax, raising the price to $\$8$ and decreasing the quantity exchanged to 100 units. Thus, the price paid by buyers rises to $\$8$, and the price received by sellers falls to $\$4$. The deadweight loss is given by the area of the triangle between the price of $\$8$ and $\$4$ and the quantity of 100 units and 200 units. That is, the deadweight loss is equal to $((\$8 - \$4) \times (200 - 100))/2 = \$200$.

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25. Assume that the market for a good is characterized by a downward-sloping demand curve and an upward-sloping supply curve and the market is in equilibrium at a price of $20 and a quantity of 100 units. After the government imposes a $5 per-unit excise tax on the good, the price that buyers pay for the good increases by $3. Which of the following are possible values for the government tax revenue and deadweight loss in the market?

(A) Tax revenue is $200, deadweight loss $0

(B) Tax revenue is $300, deadweight loss $0

(C) Tax revenue is $300, deadweight loss $100 ✓

(D) Tax revenue is $500, deadweight loss $200

(E) Tax revenue is $500, deadweight loss $300

Answer C

Correct. The answer can be found through the process of elimination. We can rule out Options A and B because there is always a deadweight loss unless either demand or supply is perfectly inelastic. If demand were perfectly inelastic, the buyer price would have increased by the amount of the tax. If supply were perfectly inelastic, the buyer price would not have increased at all. Since buyer price increased by $3, we know that neither supply nor demand is perfectly inelastic, which rules out Options "A" and "B" . We can also rule out Options "D" and "E" . The tax collected by the government could only be $500 if the equilibrium quantity did not change after the tax was implemented. The only case in which the equilibrium quantity would not change after the tax is implemented is if either demand or supply is perfectly inelastic. But we know that neither demand nor supply is perfectly inelastic. Therefore, the government revenue must increase by something less than $500. The only option in which there is some deadweight loss and the tax revenue collected by the government is less than $500 is Option "C".

26. If the market demand for a good is inelastic and the supply is elastic, which of the following is true when there is an increase in sales tax?

(A) Consumers will bear most of the burden of the tax. ✓

(B) Producers will bear all of the burden of the tax.

(C) Producers will bear most of the burden of the tax or risk losing sales.

(D) Both consumers and producers will share the burden of the tax equally.

(E) The price of the good will not change.

27. The use of environmentally friendly drinking straws has benefits to society beyond those enjoyed by their direct users. As a result, a government with the goal of maximizing total economic surplus in society would have an incentive to

2.8 government intervention

(A) allow the free market to determine the equilibrium price and quantity of environmentally friendly drinking straws

(B) implement a binding price ceiling on environmentally friendly drinking straws

(C) implement a binding price floor on environmentally friendly drinking straws

(D) implement a per-unit tax on consumers of environmentally friendly drinking straws

(E) implement a per-unit subsidy to consumers of environmentally friendly drinking straws ✓

Answer E

Correct. Since the use of environmentally friendly straws benefits not only the individual but society as well, they generate a positive externality in consumption. In cases where positive externalities are generated in consumption, the good is underconsumed in private markets from the standpoint of maximizing total economic surplus; thus, implementing a per-unit subsidy to consumers would increase consumption towards the point where marginal social benefit equals marginal social cost, therefore increasing total economic surplus towards its maximum.

28. If the government eliminates an effective minimum wage in a competitive labor market, which of the following is true?

(A) Minimum wage workers will experience no change in hourly pay.

(B) Minimum wage workers will experience a decrease in hourly pay. ✓

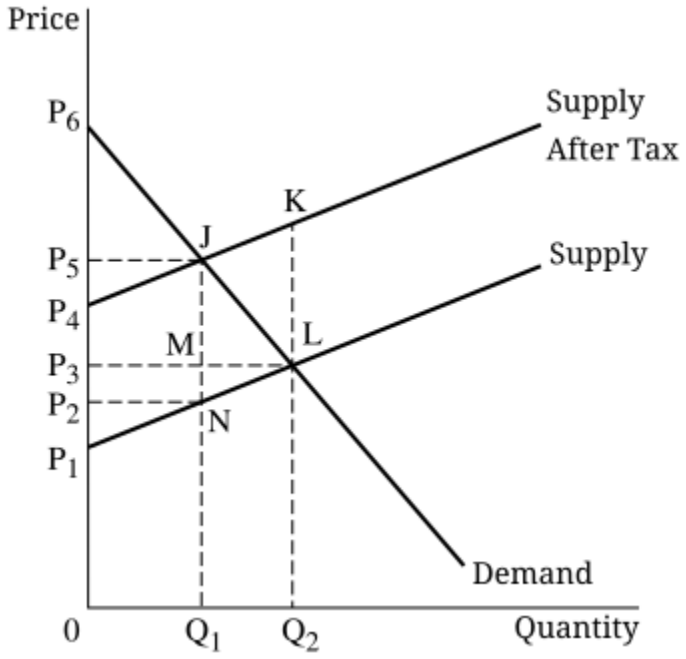
(C) The number of people employed will decrease because people do not want to work for low wages.

(D) There will be an excess demand for workers.

(E) There will be an increase in the supply of workers.

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29.



The graph provided shows the imposition of a per-unit tax on producers. Which areas represent government tax revenue, producer surplus, and deadweight loss after the imposition of the tax?

(A) The government tax revenue is P_5P_3 MJ; The producer surplus is P_3P_1L; The deadweight loss is JNL.

(B) The government tax revenue is P_5P_2 NJ; The producer surplus is P_6P_5J; The deadweight loss is P_4P_5J.

(C) The government tax revenue is JNL; The producer surplus is P_3P_1 NM; The deadweight loss is MLN .

(D) The government tax revenue is P_5P_2 NJ; The producer surplus is P_2P_1N; The deadweight loss is JNL. ✓

(E) The government tax revenue is P_5P_3 MJ; The producer surplus is P_3P_1L; The deadweight loss is JML.

Answer D

Correct. The per-unit tax creates a wedge between the price paid by consumers and the price received by producers, resulting in a higher equilibrium price (P_5) and a lower equilibrium quantity (Q_1). Government tax revenue is the difference between the price consumers pay (P_5) and the price producers receive (P_2) multiplied by the new equilibrium quantity exchanged after the tax (Q_1), which is ($P_5 - P_2$) $\times Q_1$ or area P_5P_2 NJ. Producer surplus after the tax is the area of the triangle above the supply curve and below the price received by the producers P_2, which is area P_2P_1N. Deadweight loss is the sum of the lost consumer surplus (area JML) and the lost producer surplus (area NML) that were not offset by

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the government because of the decrease in the equilibrium quantity from Q_2 to Q_1 after the tax, which is area JNL.

30. If the imposition of a per-unit tax on a good reduces the total consumer surplus by more than the reduction of total producer surplus in a competitive market, then which of the following must be true?

(A) The price sellers receive decreases by more than the amount of the tax.

(B) The price buyers pay increases by more than the amount of the tax.

(C) Demand is less elastic than supply. ✓

(D) Demand is more elastic than supply.

(E) Demand and supply are both unit elastic.

Answer C

Correct. If the demand is less elastic than the supply, then the burden of the tax lies more on the consumer than on the seller. As a result, consumer surplus will decrease by more than the decrease in producer surplus.

31. If the minimum wage for teenagers increased to a rate higher than their market equilibrium wage, what would be the effect on their wage and employment?

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(A)

Wage	Employment
Increase	No effect

(B)

Wage	Employment
Increase	Increase

(C) ✓

Wage	Employment
Increase	Decrease

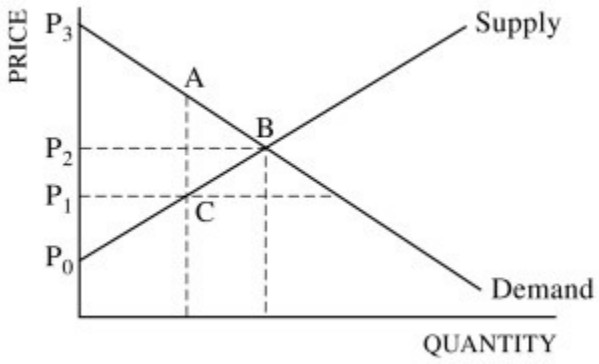
(D)

Wage	Employment
Decrease	Increase

(E)

Wage	Employment
Decrease	Decrease

32.

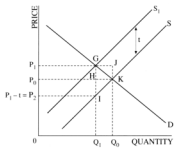


In the diagram above, if there is a price ceiling set at P_1, consumer surplus will be represented by the area

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(A) ABC
(B) P_2BP_0
(C) P_3BP_2
(D) P_3ACP_1 ✓
(E) P_3BCP_1

Assume that the original supply and demand curves of a commodity are S and D, respectively. Also assume that the government imposes an excise tax (per unit tax) of t dollars on the commodity, which shifts the supply curve to S_1.



33. The deadweight loss created by the tax is equal to

(A) P_1GHP_0
(B) P_1GKP_0
(C) GHK
(D) GKI ✓
(E) zero

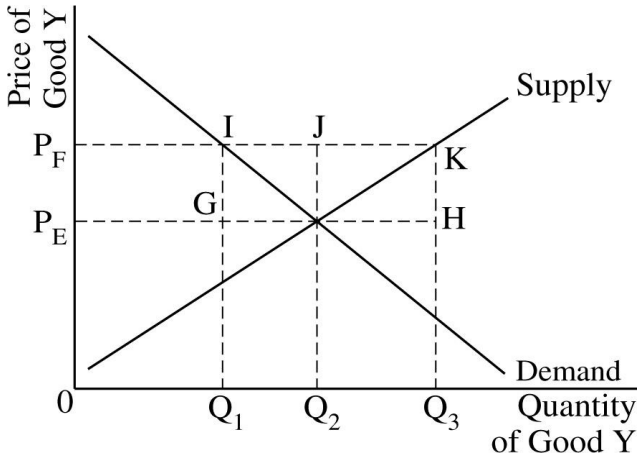
34. Which of the following bears the total tax burden?

(A) The consumers bear it.
(B) The producers bear it.
(C) The consumers and the producers each bear a part of it. ✓
(D) The group that legally pays the tax bears it.
(E) The government bears it.

35. The total amount of tax collected by the government is equal to

(A) P_1GQ_10
(B) P_1GIP_2 ✓
(C) P_0P_1JK
(D) P_0P_1GH
(E) P_0P_2IH

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The diagram above depicts the demand and supply curves for good Y. The perfectly competitive market is initially in equilibrium, but the government decides to institute a price floor program by setting the price of good Y at P_F and agrees to purchase all unsold units of good Y from the producers.

36. The cost of this program to the government is represented by which of the following areas?

(A) $0P_FJQ_2$

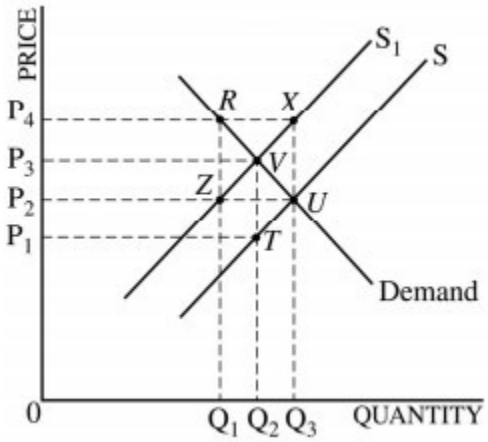
(B) $0P_FKQ_3$

(C) GIKH

(D) Q_1IJQ_2

(E) Q_1IKQ_3 ✓

37.



In the graph above, S is the original supply curve, and S_1 is the supply curve including an excise tax. The area representing the tax revenue to the government is

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(A) $P_1P_3V_T$ ✓

(B) P_2P_4RZ

(C) P_2P_4XU

(D) P_2UQ_30

(E) P_3VQ_20

38. If a government eliminated an effective price floor in a market, all of the following would occur EXCEPT:

(A) The surplus would be eliminated.

(B) The price would decrease.

(C) The quantity supplied would decrease.

(D) The quantity demanded would increase.

(E) The supply of the good would increase. ✓

39. If an effective rent ceiling is eliminated, which of the following is most likely to occur in the rental housing market?

(A) An increase in the demand for housing, resulting in a decrease in the quantity of housing supplied

(B) An increase in rents, resulting in an increase in the quantity of housing supplied ✓

(C) An increase in the demand for housing, resulting in an increase in the quantity of housing demanded

(D) A decrease in rents, resulting in an increase in the quantity of housing supplied

(E) A decrease in the demand for housing, resulting in an increase in the quantity of housing supplied

40. If the demand for a good is perfectly price inelastic in the short run and the supply curve is upward sloping, imposing a sales tax on the good will

(A) leave the price paid by consumers unchanged

(B) decrease the after-tax revenues received by suppliers

(C) increase the after-tax revenues received by suppliers

(D) not change the after-tax revenues received by suppliers ✓

(E) not change the total expenditures by consumers on the good

41. If the government imposes a per-unit tax on personal computers, consumer surplus in the personal computer market will

(A) decrease, because the price paid by consumers for personal computers will have increased ✓

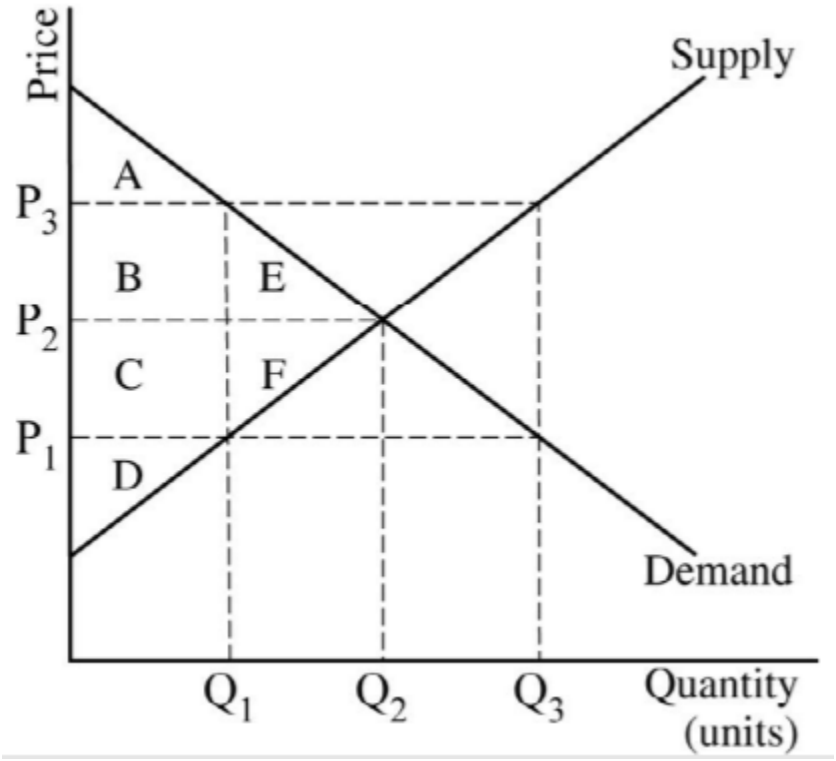
(B) decrease, because there will be more personal computers on the market

(C) increase, because personal computer manufacturers will pass the tax on to consumers

(D) increase, because consumers will buy more imported personal computers

(E) not change because the demand is unit elastic

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42. Suppose the government sets a price floor at $9 in the market. The resulting consumer surplus, producer surplus, and deadweight loss will be which of the following?

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(A)

Consumer Surplus	Producer Surplus	Deadweight Loss
B + E	C + F	A + B

(B)

Consumer Surplus	Producer Surplus	Deadweight Loss
A + B	C + D	E + F

(C)

Consumer Surplus	Producer Surplus	Deadweight Loss
A	C + D + F	E

(D)

Consumer Surplus	Producer Surplus	Deadweight Loss
A + B + E	C + D + F	0

(E) ✓

Consumer Surplus	Producer Surplus	Deadweight Loss
A	B + C + D	E + F

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43.

Price per Gallon	Quantity Supplied	Quantity Demanded
$2.50	11,000	17,000
$2.75	12,000	16,000
$3.00	13,000	15,000
$3.25	14,000	14,000
$3.50	15,000	13,000
$3.75	16,000	12,000

The table above shows the quantity of gasoline supplied and demanded at various prices in a country. If the government sets a price floor of $2.75 on a gallon of gasoline, what is the price per gallon?

(A) $2.75
(B) $3.00
(C) $3.25 ✓
(D) $3.50
(E) $3.75

44. In the rental housing market, what would be the effect of a rent control that was set at the market equilibrium rental price?

(A) It would increase the number of housing units available, creating a surplus.
(B) It would decrease the number of housing units available, creating a shortage.
(C) It would have no impact on the number of housing units available. ✓
(D) It would increase the consumer surplus and decrease the producer surplus.
(E) It would decrease the consumer surplus and increase the producer surplus.

45. The market for Good Z has relatively elastic supply and demand curves. Market efficiency is attained when

(A) total labor cost is minimized for each firm
(B) each firm experiences economies of scale
(C) consumer surplus is greater than producer surplus
(D) producer surplus is zero
(E) deadweight loss is zero ✓

Answer E

Correct. Market efficiency is attained when total economic surplus is maximized and thus deadweight loss is zero, that is, the price and quantity at which supply equals demand in a free-market equilibrium.

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46. Suppose that the market for low-wage labor is perfectly competitive and initially in equilibrium. If the government establishes an effective minimum wage, which of the following will occur?

(A) Employment of low-wage workers will decrease and unemployment will increase. ✓

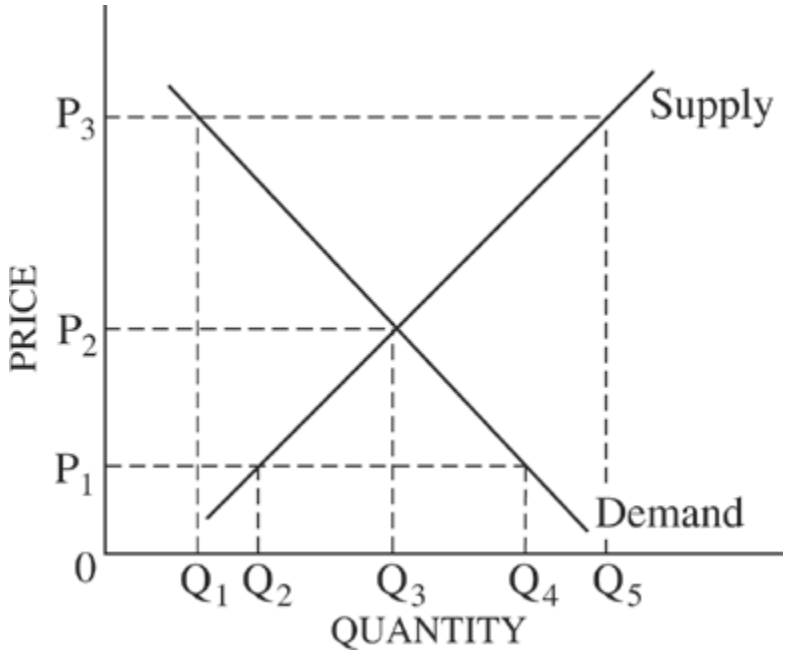
(B) The quantity of low-wage workers supplied will be less than the quantity demanded.

(C) The total wage payment received by all low-wage workers will increase.

(D) Economic efficiency will increase, since firms were paying workers less than the value of their marginal revenue product.

(E) Low-wage workers will be motivated to form a union.

47.



If the market depicted in the diagram above is initially in equilibrium, which of the following will result from the government's setting a price ceiling at P_3?

(A) Quantity demanded will exceed quantity supplied.

(B) Quantity supplied will exceed quantity demanded.

(C) Market price will increase.

(D) Market price will be unaffected. ✓

(E) Market price will decrease.

48. Which of the following will occur if the government imposes a price ceiling below the equilibrium price of a good?

2.8 government intervention

(A) The quantity sold will exceed the equilibrium quantity.

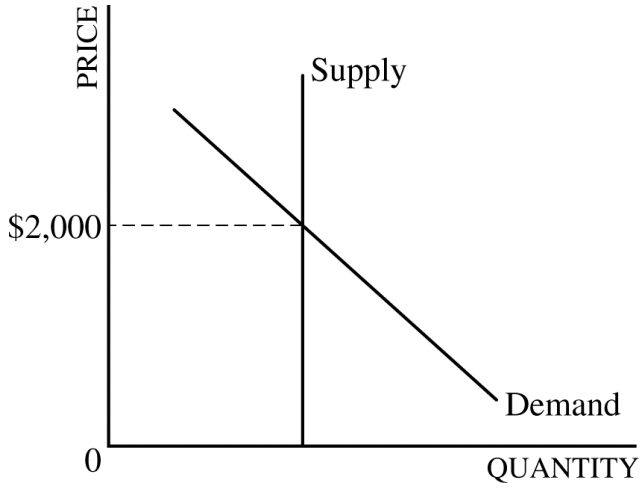
(B) Firms' total revenues will increase if demand is price elastic.

(C) There will be a shortage in the market. ✓

(D) All firms will shut down, since price is below the equilibrium price.

(E) Price will exceed the marginal cost of producing the last unit sold.

49.



The diagram above depicts demand and supply curves in a city's rental housing market. If a price ceiling of $1,000 is imposed on the market, which of the following will occur?

(A) There will be a surplus of rental housing in the city.

(B) The demand curve for housing will shift to the right.

(C) The supply curve for housing will shift to the right.

(D) The quantity of rental housing supplied will decrease.

(E) The quantity of rental housing demanded will increase. ✓

50. Which of the following policies would result in an increase in the quantity supplied of a good in a market?

(A) Eliminating a per-unit subsidy from sellers

(B) Levying a per-unit tax on sellers

(C) Imposing a binding price floor ✓

(D) Imposing a nonbinding price floor

(E) Imposing a binding price ceiling

Answer C

Correct. A binding price floor raises the legal price, giving an incentive to sellers to produce and sell greater quantity. The binding price floor results in a surplus at the binding price.

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51. Assume the government imposes a price floor above the current equilibrium price in the market for a good. Which of the following will occur?

(A) Since the price floor is set above the equilibrium price, nothing will change because the price floor is not binding.

(B) There will be a shortage of the good.

(C) Compared to the equilibrium price, there will be an increase in the quantity exchanged.

(D) There will be an excess supply of the good. ✓

(E) At the quantity sold, the marginal cost of production will exceed the marginal benefit to consumers.

Answer D

Correct. A price floor (or minimum price) above the equilibrium price will be binding. There will be a decrease in the quantity demanded and an increase in the quantity supplied, creating a surplus or an excess supply of the good.

52. An effective price floor placed on a market for a good will have which of the following effects on the quantity purchased by consumers and the consumer surplus?

(A) Quantity will decrease, and consumer surplus will increase

(B) Quantity will decrease, and consumer surplus will decrease ✓

(C) Quantity will increase, and consumer surplus will not change

(D) Quantity will increase, and consumer surplus will increase

(E) Quantity will not change, and consumer surplus will decrease

Answer B

Correct. An effective price floor is a price control set above the equilibrium price resulting in a decrease in the quantity purchased by consumers. Consumer surplus is determined by the difference between the price consumers are willing to pay (determined by the demand curve) and the price they must pay (determined by the price floor in this case) across all units consumed. Therefore, as the price increases because of the price floor, the higher price results in a decrease in quantity purchased by consumers and a decrease in consumer surplus.

53. Which of the following is true in the market for a certain product if producers consistently are willing to sell more at the going price than consumers are willing to buy?

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(A) Demand is highly inelastic
(B) Supply is highly elastic.
(C) The product is inferior.
(D) There is a price ceiling on the product.
(E) There is a price floor on the product. ✓

54. Which of the following will occur in the market for bicycles if the government establishes a binding price floor?

(A) A market shortage
(B) A decrease in the demand for bicycles
(C) A decrease in the quantity of bicycles purchased ✓
(D) An increase in consumer surplus
(E) An increase in the equilibrium quantity of bicycles

Answer C

Correct. A binding price floor imposed on bicycles will cause the price of bicycles to increase above their equilibrium price; this will decrease the quantity of bicycles purchased according to the law of demand.

55. Which of the following is true of a price floor?

(A) The intention of the government in creating the price floor is to assist the producers of the good. ✓
(B) To have an impact in the market for the good, the price floor should be set below the existing market price of the good.
(C) An effective price floor will increase the quantity demanded of the good.
(D) The price floor would tend to create a shortage of the good in the market.
(E) The creation of the price floor would not change the quantity supplied of the good if the supply curve were upward-sloping to the right.

56. Suppose that the market supply curve for shoes is upward sloping and the market demand curve is downward sloping. How will the imposition of a sales tax on shoes affect the consumer surplus, the producer surplus, and the total surplus?

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(A)

Consumer Surplus	Producer Surplus	Total Surplus
Decrease	Decrease	Decrease

(B)

Consumer Surplus	Producer Surplus	Total Surplus
Decrease	Increase	Increase

(C)

Consumer Surplus	Producer Surplus	Total Surplus
Decrease	Increase	Decrease

(D)

Consumer Surplus	Producer Surplus	Total Surplus
Increase	Decrease	Decrease

(E)

Consumer Surplus	Producer Surplus	Total Surplus
Increase	Increase	Increase

57. In which of the following cases would government intervention in a market result in an increase in the quantity sold?

(A) Setting a price ceiling above the equilibrium price

(B) Setting a price ceiling below the equilibrium price

(C) Setting a price floor above the equilibrium price

(D) Levying a per-unit tax on producers

(E) Providing producers of a product with a per unit subsidy

Answer E

Correct. A subsidy provided by the government to producers in effect lowers the cost of producing the

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product, which increases profitability and thereby shifting the market supply curve to the right and increasing equilibrium quantity. Binding price floors and price ceilings will always result in a smaller quantity being bought and sold than the equilibrium quantity.

58. Suppose that the demand for soft drinks is price elastic and the supply is price inelastic. If the government imposes a sales tax on soft drinks, which of the following will occur in the short run?

(A) The tax burden will fall equally on both consumers and producers.

(B) The tax burden will fall more on producers. ✓

(C) The tax burden will fall more on consumers.

(D) The percentage increase in the price of soft drinks will be greater than the percentage increase in the quantity demanded.

(E) The percentage decrease in total revenue will be greater than the percentage decrease in the quantity demanded.

59. Suppose that the government imposes a per-unit tax on the producers of a good that has a perfectly inelastic demand. After the tax, the price and quantity of the good sold would change in which of the following ways?

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(A)

Price	Quantity
Increase	Increase

(B)

Price	Quantity
Increase	Decrease

(C) ✓

Price	Quantity
Increase	Not change

(D)

Price	Quantity
Not change	Increase

(E)

Price	Quantity
Decrease	Not change

60. Assume that in a competitive equilibrium, 1,000 units are sold at $20 per unit. Following the imposition of a $4.00 per unit tax, the new consumer price is $23, and the new equilibrium quantity is 950 units. What are the values of the tax revenue collected and the deadweight loss?

(A) Tax revenue $4,000; Deadweight loss $3,000

(B) Tax revenue $3,800; Deadweight loss $200

(C) Tax revenue $3,800; Deadweight loss $100 ✓

(D) Tax revenue $3,000; Deadweight loss $100

(E) Tax revenue $200; Deadweight loss $200

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Answer C

Correct. The tax reduced the quantity sold to 950 units, each of which is subject to a $4.00 per unit tax. The after-tax price sellers receive is $(\$23 - \$4) = \$19$. Tax revenue is $950 \times \$4.00 = \$3{,}800$. Deadweight loss is the area of the triangle of inefficiency or lost surplus: $(\$23 - 19) \times 50 \times .5 = \$100$.

61. Following the imposition of a $4 per-unit tax in a competitive market, the seller's after-tax price falls from the original equilibrium price of $12 to $11. Which of the following statements relating to the imposition of the tax is true?

(A) The seller bears 75 percent of the tax burden.

(B) The new after-tax equilibrium price is $16.

(C) There is no deadweight loss from this tax.

(D) The new after-tax equilibrium price is $15. ✓

(E) The buyer bears 25 percent of the tax burden.

Answer D

Correct. Following the imposition of the $4 per-unit tax, when the after-tax seller's price fell from $12 to $11, the after-tax equilibrium price must have risen to $15; $(\$11 + \$4)$.

62. The fresh fish market is in equilibrium, and the demand is perfectly elastic. The imposition of a per-unit tax on sellers by the government will result in which of the following?

(A) The equilibrium price will increase by the full amount of the tax, and consumers will bear the entire burden of the tax.

(B) The equilibrium price will remain unchanged, and consumers will bear the entire burden of the tax.

(C) The equilibrium price will increase by the full amount of the tax, and suppliers will bear the entire burden of the tax.

(D) The equilibrium price will remain unchanged, and suppliers will bear the entire burden of the tax. ✓

(E) The equilibrium price will increase by the full amount of the tax, and suppliers and consumers will bear the burden of the tax equally.

Answer D

Correct. When the demand curve is perfectly elastic, the market price is determined by the demand. The

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imposition of a per-unit tax will cause the supply curve to shift up by the amount of the per-unit tax, resulting in a decrease in the equilibrium quantity with no change in the equilibrium price, since the demand is perfectly elastic. The share of the tax burden consumers and suppliers incur as the result of a tax is determined by the relative elasticities of supply and demand (whichever group has the lower elasticity bears the greatest burden of the tax).